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China Battery: Assessing implications of consumption tax resumption. CATL screens as most resilient — Buy A/H

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What happened? On July 17, 2026, China's Ministry of Finance, China Customs, and State Taxation Administration jointly issued the *"Notice on Adjusting the Consumption Tax Policy for Certain Battery Products"*. Under the revised policy, China will phase out its decade-long consumption tax exemption for mature battery products. From Sep 1, 2026, primary lithium batteries and lithium-ion batteries will be subject to a 2% consumption tax, rising to the standard 4% rate from Sep 1, 2027. To support technological innovation, next-generation battery technologies will remain temporarily exempt from Sep 1, 2026, through Dec 31, 2028, including sodium-ion batteries, solid-state batteries, fuel cells, and advanced PV technologies.

GS View: We view the policy change as manageable for sector leaders but more challenging for domestic-centric, lower-profitability battery makers, reinforcing our view of continued market-share consolidation. CATL screens as the most resilient name in our coverage, while most Tier-2/3 players face greater earnings sensitivity. Downstream, the impact appears limited for passenger vehicles and eHDTs under full pass-through, but BESS projects look more exposed given tighter return thresholds. Near term, anticipation of the consumption tax resumption could pull forward demand ahead of the implementation dates. We will monitor management commentary on the potential impact during the upcoming 2Q26 earnings season.

Assessing the potential impact on battery makers

While final pass-through arrangements will likely vary by negotiation outcome across players and customers, we assess the potential impact under two simplified scenarios: no pass-through and 50% pass-through. As the consumption tax applies to domestic sales, companies with more domestic-skewed exposure and lower unit profitability are most sensitive to the policy. A 4% tax rate would imply an estimated unit tax of Rmb11–24/kWh for our covered companies, compared with their 2025 unit net profit of Rmb8–109/kWh.

- **CATL screens as the most resilient,** with downside of just 1–6% versus our current GSe in 2026–2028E under 50% tax pass-through, and 2–13% with no pass-through. This is mainly supported by its high overseas exposure of over 30% and strong unit net profit of Rmb109/kWh in 2025, which exceeds the combined level of other covered players;
- **Most Tier-2 and Tier-3 players appear more vulnerable:** We estimate earnings downside of 8–41% for CALB and REPT in 2026–2028E under 50% tax

pass-through, widening to 15–82% with no pass-through. Gotion faces potential risk of turning loss-making, given its lower domestic unit profitability relative to peers. By contrast, EVE and Zenergy appear less affected, supported by their relatively higher unit profitability.

We view this policy shift as a compelling opportunity for leading players to further consolidate market share. As the newly introduced consumption tax squeezes margins for smaller, less cost-efficient, and more domestic-centric manufacturers, many may find it increasingly difficult to either absorb the tax or pass it through to customers.

Assessing the potential impact on the downstream

We also assess the potential downstream impact under a full pass-through scenario.

- **Passenger vehicles:** We estimate a 1–2% end-customer price impact if the 4% battery consumption tax is fully passed through, with economy models likely more affected than premium models.
- **Electric heavy-duty trucks (eHDTs):** The impact on driver economics should be limited. Under current fuel prices, a short-haul eHDT can generate roughly Rmb8k more profit per month than an ICE HDT. As such, even if the 4% tax is fully passed through, amounting to around Rmb8k per unit, drivers could recover the incremental cost within just one month of operation.
- **Battery energy storage system (BESS) projects:** This segment appears most sensitive to the tax adjustment. Based on our estimates, if the 4% tax is fully passed through, the IRR of a 400MWh project would decline by 0.3ppt, potentially pushing projects currently near the hurdle rate into below required return threshold.

Exhibit 1: A 4% tax rate would imply an estimated unit tax of Rmb11–24/kWh for our covered companies, compared with their 2025 unit net profit of Rmb8–109/kWh.

Unit consumption tax and after-tax net profit across the battery companies we cover (2025-2028E), Rmb/kWh

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We view the policy change as manageable for sector leaders but more challenging for domestic-centric, lower-profitability battery makers, reinforcing our view of continued market-share consolidation. CATL screens as the most resilient name in our coverage, while most Tier-2/3 players face greater earnings sensitivity.

Summary of earning impact to battery companies we covere

	2025	2026E			2027E			2028E		
		No tax/100% tax pass-through	Tax resumes, with 0% pass-through	Tax resumes, with 50% pass-through	No tax/100% tax pass-through	Tax resumes, with 0% pass-through	Tax resumes, with 50% pass-through	No tax/100% tax pass-through	Tax resumes, with 0% pass-through	Tax resumes, with 50% pass-through
Consumption tax (%)	0%	0%	2% since Sep 1st	2% since Sep 1st	0%	2% before Sep 1st and 4% after that	2% before Sep 1st and 4% after that	0%	4%	4%
Tax pass-through to end-customers (%)			0%	50%		0%	50%		0%	50%
Annualized consumption tax rate (%)	0%	0%	0.7%	0.3%	0%	2.7%	1.3%	0%	4%	2%
CATL										
Sales	423.7	611.7	611.7	611.7	728.3	728.3	728.3	804.1	804.1	804.1
Domestic battery sales	281.3	398.6	398.6	398.6	474.5	474.5	474.5	518.3	518.3	518.3
as % of total sales	66%	65%	65%	65%	65%	65%	65%	64%	64%	64%
GP	111.3	149.2	146.5	147.8	182.9	170.3	176.6	208.0	187.3	197.7
GPM%	26.3%	24.4%	24.0%	24.2%	25.1%	23.4%	24.2%	25.9%	23.3%	24.6%
Diff%			-2%	-1%		-7%	-3%		-10%	-5%
NP	**72.2**	**95.6**	**93.3**	**94.5**	**118.9**	**108.1**	**113.5**	**137.8**	**120.2**	**129.0**
NPM%	17.0%	15.6%	15.3%	15.4%	16.3%	14.8%	15.6%	17.1%	15.0%	16.0%
Diff%			-2%	-1%		-9%	-5%		-13%	-6%
Zenergy										
Sales	8.1	14.9	14.9	14.9	24.9	24.9	24.9	32.9	32.9	32.9
Domestic battery sales	8.1	14.9	14.9	14.9	24.9	24.9	24.9	32.9	32.9	32.9
as % of total sales	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
GP	1.5	2.3	2.2	2.3	3.9	3.3	3.6	5.4	4.0	4.7
GPM%	18.4%	15.6%	14.9%	15.2%	15.8%	13.1%	14.5%	16.3%	12.3%	14.3%
Diff%			-4%	-2%		-17%	-8%		-25%	-12%
NP	**0.8**	**1.1**	**1.0**	**1.1**	**1.9**	**1.3**	**1.6**	**2.8**	**1.6**	**2.2**
NPM%	10.0%	7.5%	6.9%	7.2%	7.6%	5.2%	6.4%	8.3%	4.8%	6.6%
Diff%			-8%	-4%		-31%	-16%		-42%	-21%
EVE										
Sales	61.5	92.2	92.2	92.2	107.1	107.1	107.1	106.2	106.2	106.2
Domestic battery sales	44.0	64.8	64.8	64.8	74.3	74.3	74.3	68.8	68.8	68.8
as % of total sales	72%	70%	70%	70%	69%	69%	69%	65%	65%	65%
GP	9.9	14.4	13.9	14.2	17.4	15.3	16.4	17.8	15.0	16.4
GPM%	16.2%	15.6%	15.1%	15.4%	16.2%	14.3%	15.3%	16.8%	14.1%	15.4%
Diff%			-3%	-2%		-12%	-6%		-16%	-8%
NP	**4.1**	**6.5**	**6.1**	**6.3**	**8.1**	**6.3**	**7.2**	**8.6**	**6.1**	**7.3**
NPM%	6.7%	7.1%	6.6%	6.9%	7.6%	5.9%	6.7%	8.1%	5.7%	6.9%
Diff%			-6%	-3%		-23%	-11%		-29%	-15%
CALB										
Sales	44.4	68.6	68.6	68.6	85.7	85.7	85.7	87.4	87.4	87.4
Domestic battery sales	43.5	67.2	67.2	67.2	84.0	84.0	84.0	85.7	85.7	85.7
as % of total sales	98%	98%	98%	98%	98%	98%	98%	98%	98%	98%
GP	7.4	11.2	10.8	11.0	14.4	12.2	13.3	15.0	11.6	13.3
GPM%	16.7%	16.4%	15.8%	16.1%	16.8%	14.2%	15.5%	17.1%	13.2%	15.2%
Diff%			-4%	-2%		-16%	-8%		-23%	-11%
NP	**1.5**	**2.7**	**2.2**	**2.5**	**3.6**	**1.6**	**2.6**	**3.8**	**0.7**	**2.2**
NPM%	3.3%	3.9%	3.3%	3.6%	4.2%	1.9%	3.1%	4.3%	0.8%	2.6%
Diff%			-16%	-8%		-56%	-28%		-82%	-41%
Rept										
Sales	24.3	32.6	32.6	32.6	37.6	37.6	37.6	35.9	35.9	35.9
Domestic battery sales	22.6	28.8	28.8	28.8	33.2	33.2	33.2	31.1	31.1	31.1
as % of total sales	93%	88%	88%	88%	88%	88%	88%	87%	87%	87%
GP	2.7	4.1	4.0	4.1	5.0	4.1	4.5	4.8	3.6	4.2
GPM%	11.2%	12.7%	12.2%	12.5%	13.3%	10.9%	12.1%	13.4%	10.0%	11.7%
Diff%			-5%	-2%		-18%	-9%		-26%	-13%
NP	**0.6**	**1.2**	**1.0**	**1.1**	**1.5**	**0.6**	**1.1**	**1.4**	**0.3**	**0.8**
NPM%	2.6%	3.7%	3.1%	3.4%	3.9%	1.7%	2.8%	3.9%	0.7%	2.3%
Diff%			-15%	-8%		-56%	-28%		-82%	-41%
Gotion										
Sales	45.1	62.0	62.0	62.0	74.2	74.2	74.2	76.2	76.2	76.2
Domestic battery sales	35.3	47.6	47.6	47.6	56.2	56.2	56.2	55.3	55.3	55.3
as % of total sales	78%	77%	77%	77%	76%	76%	76%	73%	73%	73%
GP	7.3	9.3	8.9	9.1	11.4	9.9	10.6	11.2	9.0	10.1
GPM%	16.2%	14.9%	14.4%	14.7%	15.3%	13.3%	14.3%	14.7%	11.7%	13.2%
Diff%			-3%	-2%		-13%	-7%		-20%	-10%
NP	**2.4**	**0.9**	**0.6**	**0.8**	**1.9**	**0.5**	**1.2**	**1.5**	**(0.5)**	**0.5**
NPM%	5.3%	1.5%	1.0%	1.2%	2.6%	0.7%	1.6%	1.9%	-0.7%	0.6%
Diff%			-32%	-16%		-71%	-36%		-135%	-68%
Farasis										
Sales	9.1	9.1	9.1	9.1	9.7	9.7	9.7	10.4	10.4	10.4
Domestic battery sales	1.6	2.0	2.0	2.0	2.3	2.3	2.3	2.5	2.5	2.5
as % of total sales	17%	22%	22%	22%	23%	23%	23%	24%	24%	24%
GP	0.8	1.0	1.0	1.0	1.1	1.1	1.1	1.2	1.1	1.2
GPM%	9.2%	11.0%	10.8%	10.9%	11.8%	11.1%	11.4%	11.5%	10.6%	11.1%
Diff%			-1%	-1%		-5%	-3%		-8%	-4%
NP	**(0.7)**	**(0.3)**	**(0.3)**	**(0.3)**	**(0.2)**	**(0.3)**	**(0.3)**	**(0.2)**	**(0.3)**	**(0.3)**
NPM%	-8.2%	-3.6%	-3.7%	-3.7%	-2.3%	-2.9%	-2.6%	-2.3%	-3.2%	-2.8%
Diff%			-4%	-2%		-27%	-13%		-42%	-21%

Source: Company data, Goldman Sachs Global Investment Research

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